Task 1: Customer Behavior Analysis — Executive Submission Summary

Organization: Alfido Tech | **Program:** Data Analytics Internship | **Deliverable:** Per-Task Document

Executive Summary

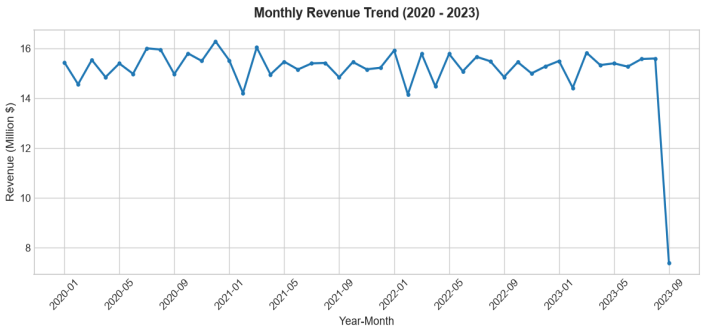
Analyzed 250,000 transaction records across 49,673 unique customers from January 2020 through September 2023. Applied RFM quintile segmentation to categorize customers into five actionable tiers: Champions, Loyal Customers, At Risk, Lost / Hibernating, and Potential / Recent Buyers. The analysis revealed that Champions and Loyal Customers (42.5% of base) generate 55.8% ($380.1M) of total revenue, while 8,711 At-Risk customers represent $140.7M in lapsed revenue with an average inactivity of 411.5 days. Overall customer churn stands at 20.0%, and Books and Clothing represent 60.0% of sales with a 49.8% recorded return rate. Top priority is launching an automated win-back campaign for the At-Risk tier.

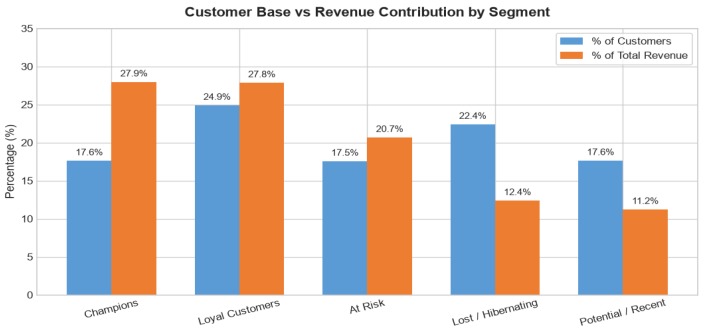
Customer Segmentation Overview

Customer Segmentation Summary Table

Segment	Customers	% Base	Avg Spend	Total Revenue	Avg Recency
Champions	8,739	17.6%	,785	.4M (27.9%)	61.3 days
Loyal Customers	12,354	24.9%	,355	.7M (27.8%)	129.0 days
At Risk	8,711	17.5%	,152	.7M (20.7%)	411.5 days
Lost / Hibernating	11,115	22.4%	,579	.2M (12.4%)	564.3 days
Potential / Recent	8,754	17.6%	,719	.3M (11.2%)	114.2 days

Key Visualizations: Revenue Trends & Segment Distribution





Key Business Recommendations for Alfido Tech

1. **Win-Back At-Risk Segment:** Target 8,711 inactive high-value customers (411.5 days avg inactivity, $140.7M spend) with tailored 15% discount sequences to recover $14M–$21M.
2. **VIP Loyalty Program:** Reward 8,739 Champions ($190.4M revenue, 61.3 days recency) with priority shipping and exclusive drops to boost order frequency to 8.5+.
3. **Nurture Recent Buyers:** Upsell 8,754 Recent Buyers ($8,719 avg spend, 3.20 orders) via cross-category product recommendations to graduate them to Loyal status.
4. **Category Bundling & Return Reduction:** Bundle Clothing and Books (60% revenue) with accessories while improving size/spec guides to mitigate the 49.8% return rate.
5. **Lifecycle Recency Monitoring:** Deploy automated CRM alerts triggering at 180 days of customer inactivity to curb the 20.0% overall churn rate.